Blurt sheet - Unit 3.4 Operational management

3.4.1 Operational Objectives

- **Operational objectives (AQA):** costs, quality, speed of response, flexibility, environmental objectives, added value
- **Added value:** sales revenue − cost of bought-in goods and services

3.4.2 Operations Data

- **Labour productivity:** output over a time period ÷ number of employees
- **Unit cost (average cost):** total costs ÷ number of units of output
- **Capacity:** maximum output possible with current resources
- **Capacity utilisation (%):** actual output ÷ maximum possible output × 100

3.4.3 Capacity

- **Under-utilisation:** high fixed cost per unit, idle resources
- **Very high utilisation:** low unit costs but no time for maintenance and pressure on staff
- **Improving utilisation:** raise sales, make for other firms, rent out space, or cut capacity

3.4.3 Efficiency, Productivity & Technology

- **Efficiency:** producing output at the lowest unit cost
- **Increasing productivity:** training, motivation, better equipment, better organisation of work
- **Labour intensive:** relies mainly on people
- **Capital intensive:** relies mainly on machinery and technology

3.4.3 Lean Production & Just in Time

- **Lean production:** cutting waste of all kinds while maintaining quality
- **Just in time (JIT):** materials arrive just when needed; little inventory held
- **Just in case:** holding buffer inventory in case of extra demand or supply problems
- **JIT drawbacks:** needs reliable suppliers; no buffer if demand jumps

3.4.4 Quality

- **Quality control:** checking products to find and remove faults
- **Quality assurance:** building quality into every stage to prevent faults
- **Consequences of poor quality:** waste, returns, lost reputation and sales, recalls

3.4.5 Matching Supply to Demand

- **Ways to match supply to demand (AQA):** outsourcing, temporary and part-time staff, producing to order
- **Outsourcing:** another business carries out an activity or makes part of the output
- **Producing to order:** making products only once an order is received

3.4.5 Inventory Control

- **Lead time:** time between placing an order and delivery
- **Re-order level:** inventory level at which a new order is placed
- **Buffer inventory:** minimum level kept in case of delays or extra demand
- **Re-order quantity:** amount ordered each time
- **Maximum inventory level:** buffer inventory + re-order quantity

3.4.5 Suppliers & Supply Chains

- **Choosing suppliers:** price, quality, reliability, capacity, location, ethics
- **Supply chain:** every stage from raw materials to the final customer
- **Value of outsourcing:** specialist skills, lower cost, flexibility; but less control